

- i. “BOCC”: Board of County Commissioners for the County of San Miguel
- ii. “Subject Lots”: Real property owned by the Rule 106 Plaintiffs in San Miguel County, Colorado
- iii. “1991 PUD Agreement”: The Preliminary Development Plan Approval for the Aldasoro Ranch Planned Unit Development
- iv. “PUDR”: Planned Unit Development Reserve
- v. “PUD”: Planned Unit Development
- vi. “CZR”: San Miguel County Zoning Regulations
- vii. “LUC”: San Miguel County Land Use Code
- viii. “F/Ag”: Forest, Agriculture, and Open Zone District

II. INTRODUCTION

The BOCC’s Answer Brief largely relies on restating its only argument, which can be restated as follows: Because the 1991 PUD Agreement used the generic term “PUD” for what became the Aldasoro Ranch Subdivision, only the Aldasoro Ranch Subdivision is legally within a PUD agreement. This interpretation is precisely the “hyper-technical reading” warned against by Colorado Courts.

The BOCC’s analysis is also otherwise lacking. The BOCC fails to address most of the facts raised by the Rule 106 Plaintiffs that even a plain reading of the 1991 PUD Agreement, along with the existing LUC at the time, supports the conclusion that *all* of Mr. Aldasoro’s land was intended and required to be part of a PUD agreement pursuant to C.R.S. § 39-13-104. Contrary to the BOCC’s argument, the 1991 PUD Agreement and all extrinsic evidence supports such a conclusion.

III. STANDARD OF REVIEW

In its answer, the County provides a confusing description of the appropriate standard of review for this court. The County states that plaintiffs' burden is to prove that "no competent evidence" exists to support the determination. Typically, this is the correct standard for a C.R.C.P. 106(a) appeal. However, it does not apply to this case.

The issues in this case pertain to an interpretation of a legal document (the 1991 PUD Agreement) in the context of a C.R.C.P. 106(a) appeal. Because the issue is largely the interpretation of a contract, the standard of review is explained in *Ad Two, Inc. v. City and Cty. Of Denver ex rel. Manager of Aviation*, 9 P.3d 373, 376 (Colo. 2000). There, the Supreme Court, considered whether a Hearing Officer for the City and County of Denver misinterpreted a concessionaire agreement *on a Rule 106(a) appeal*, and wrote, "contract interpretation is a question of law and may be reviewed *de novo*." Whether at the trial court or appellate court level, "[a] court's duty is to interpret a contract in a manner which effectuates the manifest intention of the parties at the time the contract was signed." *Id.* Ultimately, the Supreme Court affirmed the lower courts' determination that the agreement was unambiguous and could be interpreted under the foregoing standard rules for contract interpretation. Therefore, under this Rule 106(a) appeal, this court must determine whether its own interpretation of the 1991 PUD Agreement unambiguously sets forth the executing parties' intent to include the property at issue in this case within the 1991 PUD Agreement. The plaintiffs, of course, submit that the 1991 PUD Agreement unambiguously includes such Subject Lots.

IV. ARGUMENT

The County fails to address the facts supporting the inclusion of the Sheep Ranch in the

PUD Agreement. Accordingly, for the purpose of this motion, the court may accept those facts as true.

A. Land Use Code § 5-317(A)

First and foremost, the County does not address that the San Miguel County Land Use Code *required* the applicant to place all their land into a Planned Unit Development agreement pursuant to LUC § 5-317(A) which states, “An applicant desiring to develop a PUD Reserve must obtain *PUD approval for the entire parcel*” (*emphasis added* SOF # 9). As the court here is looking to affirm the parties’ actual intent, the law in effect when approving the PUD could not be clearer. By its own language, the LUC applied to any Planned Unit Development applications that were not already “effective at the time of adoption,” which the 1991 PUD Agreement was not. (SOF # 8.)

The County’s only argument in response is that the Plaintiffs incorrectly “presumes the parties were prohibited from negotiating terms to rezone property not otherwise part of the planned unit development” (Ans. p. 12.) The only presumption being made by the Plaintiffs is the indisputable fact that the parties *were* prohibited from ignoring the LUC requirements in § 5-317(A).

B. Land Use Code § 5-1402 is irrelevant

The County attempts to distance itself from the clear requirements of LUC 5-317(A) by pointing to the unrelated code section of LUC § 5-1402. However, this code section *does not apply* to situations where the applicant has already placed its land into a Planned Unit Development Reserve (“PUDR”). The undisputed evidence is in 1982, Mr. Aldasoro placed all of this land into a PUDR. (SOF # 2.)

Had Mr. Aldasoro ***not** placed his land into a PUDR*, he could have applied solely for a

PUD designation for the Aldasoro subdivision under LUC § 5-1402. Under LUC § 5-1402, he **could** have (1) left the remaining Sheep Ranch as open space designation, (2) not been required to provide intercept parking, (3) not been under an obligation to dedicate roads in the Sheep Ranch to the County, (4) not needed to identify home site envelopes in the Sheep Ranch, and (5) not needed to provide wildlife-friendly fencing in the Sheep Ranch, and most importantly, Mr. Aldasoro **could** have (6) **not** imposed a Real Estate Transfer Assessment (“RETA”) upon sale of property in the Sheep Ranch.

However, because all of Mr. Aldasoro’s land was placed in a PUDR in 1982, he did not have the option to proceed under LUC § 5-1402. Rather, he was required to obtain “PUD approval” for *all his land* along with the above development restrictions and obligations under LUC 5-317. And, as is more fully outlined in the plaintiffs’ opening brief, this is precisely what he did.

C. State law providing for “exempt subdivisions” defines the density of the Sheep Ranch for the 1991 PUD Agreement

The County attempts to remove itself from its own legal mandate contained within LUC § 5-1402 by focusing on the fact the 1991 PUD Agreement *itself* does not specify the number or size of lots allowed in the Sheep Ranch. (Ans. p. 13.) Using that logic, the County asserts the 1991 PUD Agreement does not “satisfy the statutory standard for a PUD under C.R.S. 24-67-105(4)” as to the Sheep Ranch. (*Id.* p. 17.)

While the County is correct in that the 1991 PUD Agreement does not specify the size of lots or density of the Sheep Ranch, that is because such density and development rights were a matter of state law. Under C.R.S. § 30-28-101(10)(c)(I),² any subdivision of land “[w]hich creates

² This statute is, coincidentally, also referred to as “Senate Bill 35,” which was the number of the Bill when it was introduced to the Colorado Legislature in 1972. See *Pennobscot, Inc. v. Bd. of Cty. Comm’rs*, 642 P.2d 915, 916 (Colo. 1982)(“[w]hile Senate Bill 35 [section 30-28-101(10) (b), C.R.S. 1973 (1977 Repl. Vol. 12)], adopted in

parcels of land, such that the land area of each of the parcels, when divided by the number of interests in any such parcel, results in thirty-five or more acres per interest” is an “exempt” subdivision that requires no local subdivision approval process.

By rezoning the land from open space identified in the PUDR to F/Ag under the 1991 PUD Agreement, the Aldasoro family could take advantage of state law allowing the right to subdivide the Sheep Ranch into lots of 35 acres or greater. C.R.S. § 30-28-101(10)(c)(I). The density of the Sheep Ranch is easily determined because it is approximately 2,700 acres. (R. Ex. A p. 15.) When 2,700 is divided by 35, the result is 77. Therefore, under the newly enacted LUC § 5-307 B, the owners of property in the F/Ag were allowed a single-family dwelling as a matter of right on any parcel 35 acres or more, which equals an overall density of 77 single-family homes on the Sheep Ranch.³

The County does not mention the right to a single-family home on the parcels but oddly does point to LUC § 5-307 C, which allows an *additional* guest house on 35 acre or larger properties.⁴ Therefore, assuming that every one of the 77 lots has a single-family home and a guest unit, the total density of the Sheep Ranch allowed under the 1991 PUD Agreement is 156 primary residences together with the appurtenant accessory dwelling units.

The County acknowledges the language of the 1991 PUD Agreement, which states: “Aldasoro shall preserve a site for an intercept parking lot that is sufficient to meet demands that result if Sheep Ranch was sold in parcels of 35 acres,” but claims such language “falls short of establishing standards governing the intensity or density of the land.” (Ans. p. 14, and R., Ex. A at

1972, by its terms did not apply to divisions of land into parcels of larger than thirty-five acres . . . (allowing subdivisions of land greater than 35 acres to be exempt from the state mandate that subdivision regulations be enacted for parcels smaller than 35 acres.)

³ Any parcel smaller than 35 acres requires a full subdivision review under C.R.S. § 30-28-101, so any parcel required at least 35 acres under the law and the 1991 PUD Agreement.

⁴ The County misstate 5-307 C, which reads in relevant part, “[g]uest house/caretaker unit – a second unit shall be allowed on parcels of 35 acres or larger. . .”

33.) Plaintiffs agree. If the density were not regulated by state statute allowing exempt subdivisions (i.e. without County approval) of 35 acres or greater, the cited section *would* not be enough. However, when state law, C.R.S. § 30-28-101, is considered, the cited language *reinforces* the parties' intent that density would be 35-acre or greater lots size; and the density would allow one or two residential structures on each lot. As such, the 1991 PUD Agreement meets the requirements of C.R.S. 24-67-105(4), because the maximum density of the Sheep Ranch was dictated by state law and the new land use code permits one primary residence and an accessory residential structure of no more than 156 total. The County *does not contest* any other factors of C.R.S. 24-67-105 regarding the Sheep Ranch being part of a valid Planned Unit Development Agreement.

D. The County Fails to Address Undisputed Facts that are Not Consistent with its Favored Interpretation

The County also fails to address language in the 1991 PUD Agreement that is inconsistent with its current interpretation presented to the court. The most important omission is the County's failure to address the following language:

WHEREAS the Planning Commission recommended and the Board have found that the rezoning of the P.U.D., the Airport Park and the Sheep Ranch pursuant to *this P.U.D. Plan* conforms to the Telluride Area Regional Master Plan, referred to hereafter as the 'Master Plan.'

(*Emphasis added* SOF #7.)

The use of the term "this P.U.D. Plan", referencing and encompassing *all three subdistricts*, *clearly* indicates the parties' intent to include all three subdistricts in the "PUD Agreement."

E. Extrinsic Evidence Supports Plaintiffs' Interpretation of the 1991 PUD Agreement

Although unusual, the court faces two litigants who both state the 1991 PUD Agreement is "not ambiguous," but each with their own favored interpretation. "The mere fact that the parties may have different opinions regarding the interpretation of the contract does not itself create an

ambiguity in the contract.” *Deschenes Consulting, LLC v. NU Life Mkt., L.L.C.*, U.S. Dist. LEXIS 219380, at *7-8 (D. Colo. 2023) (quoting *Ad Two, Inc. v. City & Cnty. of Denver*, 9 P.3d 373, 377 (Colo. 2000)). Therefore, even if the parties have different interpretations of the 1991 PUD Agreement, it does not render the Agreement ambiguous as a matter of law.

However, if the court does find there is an ambiguity, the court may rely upon extrinsic evidence to interpret the ambiguity. Notably, the County did not contest *any* of the extrinsic evidence presented by plaintiffs (SOF ¶ 10, 11, 12, 34); rather, the County simply asserts the court should not review such evidence. But if the court examines Plaintiffs’ proffered extrinsic evidence, it proves that, although Mr. Aldasoro would have *rather* placed *only* the subdivision into a PUD agreement, the County *required* him to place all his land into a unified PUD agreement, including the Subject Lots. (*Id.*)

In her declaration or affidavit, Ms. Pamela Bennett, Albert Aldasoro’s daughter, testified:

Originally, my father was adamant that he only wanted to obtain a PUD for the area of our land that is in the general vicinity of the current Aldasoro Subdivision. Even though it had been placed in the PUD Reserve several years earlier, he did not want to include any of the rest of the family land in the PUD, as he wanted to maintain his sheep ranching operation.

(R. Ex. B, p. 104 ¶ 9.)

Ms. Bennett clarifies Mr. Aldasoro’s *original* desire to include just “the current Aldasoro Subdivision” into a PUD plan. (R. Ex. B, p. 106 ¶ 14.) Accordingly, and understanding that the new Land Use Code might become effective before his PUD application was approved, “my father and his advisors decided to propose a PUD for just the section of land east of Windy Ridge – the area of land that ultimately became the Aldasoro Subdivision.”

Ms. Bennett recalls that “[a]t the time, the County was concerned about growth;” and therefore, “pressured my father by telling him and his associates that the P.U.D. plan *had to cover*

his entire holding of property, and it all had to be part of the same Planned Unit Development Agreement.” (R. Ex. B, p. 106 ¶ 15.) This “pressure” was also entirely consistent with the newly enacted LUC § 5-317. (Emphasis added.)

Ms. Bennett details the changes made to the second draft of the PUD agreement, which included adding the section highlighted in blue, thereby increasing the coverage of the agreement:

*WHEREAS, the Planning Commission and the Board have found that the rezoning of the P.U.D. **the Airport Park and the Sheep Ranch** pursuant to this P.U.D. Plan conforms to the Telluride Area Regional Master Plan referred to hereunder as “Master Plan.”*

(*Id.*)

Ms. Bennett further identifies the changes made in the third and fourth drafts, which included adding the various final benefits and burdens of development regarding the Sheep Ranch identified *supra*. (*Id.* at ¶ 16.)⁵ Accordingly, although Mr. Aldasoro would have liked otherwise, he ultimately succumbed to the County’s requirement and placed all of his property in a single unified Planned Unit Development Agreement, including the Subject Lots. Therefore, the extrinsic evidence is entirely consistent with Plaintiffs’ interpretation of the 1991 PUD Agreement and does not support the County’s interpretation at all.

F. The County Interprets the 1991 PUD Agreement Inconsistently

The Plaintiffs originally asked the County to interpret the 1991 PUD Agreement because the County engaged in selective interpretation of the agreement only in their favor. As noted by the County, the Plaintiffs asked whether “the land referred to as the ‘Sheep Ranch’ in the 1991

⁵ In response to the extrinsic evidence, the County simply states, “the sketch plans proposed to rezone 1550 acres (the same land referred to as the P.U.D. in the 1991 PUD Agreement) to a planned unit development and expressly left the balance of Aldasoro’s properties (the Sheep Ranch and Airport Park) unaltered.” (Ans. p. 11.) While this is a true statement, the County conveniently ignores the point of the extrinsic evidence. Mr. Aldasoro would have liked to place only the subdivision into the PUD agreement but was required to include his entire property by the County. (R. Ex. B, p. 106 ¶ 15.)

PUD Agreement ... that includes Diamond Ranch Lots 1 & 2, is part of a unified plan of development under C.R.S. § 24-67-101 *et seq.*” (Ans. p. 6 ¶ 14.) In response, Ms. Simonson (San Miguel County Planning Director) *did not actually answer* that question. Rather, she stated the Subject Lots were “not part of the Aldasoro PUD,” which she defined as the subdivision. The Plaintiffs agree the Subject Lots are not part of the *Aldasoro Ranch HOC subdivision*, but the Plaintiffs did not ask this question. Plaintiffs questioned whether the Subject Lots were included within the 1991 PUD Agreement.

Dodging the question, Ms. Simonson *failed to clarify* whether the Subject Lots were part of, and subject to the 1991 PUD Agreement at issue in this case. Because Ms. Simonson did not answer the question posed, Plaintiffs sought clarity by bringing the issue before the BOCC, which ultimately upheld Ms. Simonson’s written interpretation. (SOF # 36). However, the BOCC made the issue even more confusing by stating in its Resolution:

Director Simonson’s determination was based on the fact that Diamond Ranch Lots 1 & 2 are properties that were part of “Sheep Ranch.” *Sheep Ranch properties were specifically included in the "Preliminary Development Plan Approval" document (PUD Approval) by the original owner/developer, Aldasoro Ltd., as approved by the Board of County Commissioners (BOCC) in Resolution 1991-06. . .*”

(*Emphasis added*, R., Ex. F at 426.)

Plaintiffs agree with this conclusion stated in the Resolution that the Subject Lots were “specifically included” in the PUD agreement. However, now the County takes a different position before this court stating: “[t]he plain language of the 1991 PUD Agreement is competent evidence and supports the conclusion that its terms *explicitly exclude* the Sheep Ranch from the Aldasoro PUD” (Def. Ans. p. 16).

This statement is diametrically opposed to that within the Resolution itself. This conflict in the County’s argument gets to the core of the problem with the County’s position then and now.

It makes no sense that the Sheep Ranch could have its future development defined and controlled as part of a unified 1991 PUD Agreement of development, created pursuant to C.R.S. § 24-67-101 *et seq.*, and yet not be part of a “PUD Agreement.”

This contradiction is important because it is not consistent with the plain language of the 1991 PUD Agreement. Raising these contradictions shows the weakness of the County’s position, which is either constantly changing or too difficult for them to state in a cogent manner.

The final possibility is that the County simply does not want to admit what it knows to be true: the Sheep Ranch was intended by all parties to be included in the C.R.S. § 24-67-101 *et seq.* Planned Unit Development approval, as required by the County’s own land use code.

V. CONCLUSION

When the court applies a *de novo* review to the interpretation of the 1991 PUD Agreement, the court need not go beyond the undisputed fact that the San Miguel Land Use Code § 5-317 *required* placing all Mr. Aldasoro’s property into a PUD agreement. The County has not addressed this fact other than to suggest both parties could have ignored the code and contract as they pleased. The County’s sole argument is based on the nomenclature of the term “the PUD” in the 1991 PUD Agreement, which fails to persuade when the entirety of the agreement is reviewed.

If the court believes it necessary to examine the extrinsic evidence due to ambiguity, all such evidence supports that although Mr. Aldasoro’s *original* intent was to include only the subdivision in “the PUD,” he had to accept the County’s requirement that *all of his property* be within an approved PUD Agreement.

Plaintiffs ask for a ruling of this court finding the subject Diamond Ranch lots 1 and 2 are part of the “Sheep Ranch,” and that the entirety of the “Sheep Ranch” property is included within a legally enforceable PUD agreement approved by the County pursuant to C.R.S. 24-67-105 in 1991.

DATED: May 20, 2024.

DUFFORD WALDECK

/s/ Sam D. Starritt

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Attorneys for Plaintiffs

CERTIFICATE OF SERVICE

I certify that on May 20, 2024, a copy of this **PLAINTIFFS' REPLY BRIEF** was served on all parties of record using the CCEF filing system.

/s/ Sam D. Starritt

Sam D. Starritt